

WVE pitch deck

Both benches are in and agree, so this is a straight authoring job from the court record. Deck follows.

PITCH — WVE — PROPOSED VERDICT (one line; label clearly “PROPOSED — PENDING ADJUDICATION”)

PROPOSED — PENDING ADJUDICATION: REJECT — no position. Wave’s FDA meeting is a catalyst whose favorable branch mostly enriches a stronger competitor (Beam). Watch with three reopen triggers; do not buy the dip.

What we believe

Wave Life Sciences (~\$1.00B market cap, ~\$510M enterprise value after \$490.6M cash) is a genetic-medicines company whose nearest catalyst is an FDA meeting, scheduled for “end of summer 2026,” about a possible accelerated-approval path for WVE-006, its RNA-editing treatment for alpha-1 antitrypsin deficiency (AATD).

We believe the trade fails on competitive position, and that the failure is close to symmetric across the catalyst’s outcomes:

- **Wave is not the best drug on the measure that matters.** Wave’s own May 2026 data show its chronic dosing produces about 7.2–7.7 μM of functional (M-type) AAT protein. Beam Therapeutics’ BEAM-302 — a one-time gene-editing treatment — produces roughly 15.1 μM functional protein (94% of 16.1 μM total), rising toward ~30 μM during infection, and Beam dosed its first pivotal-trial patient in August 2026. Beam also corrects the disease-causing protein, so the “only Wave treats both lung and liver” differentiator is false — Beam does both, at roughly twice the level, from a single dose. Primary source for Wave’s own numbers: <https://www.globenewswire.com/news-release/2026/05/18/3297034/0/en/Wave-Life-Sciences-Announces-Positive-Update-on-RestorAATion-2-Trial-WVE-006-GalNAc-RNA-Editing-Achieves-MZ-Like-Phenotype-Across-Both-Biweekly-and-Monthly-Dosing.html>
- **A win at the FDA is a public good.** If the agency blesses blood AAT levels as an approvable surrogate endpoint, that blessing applies to everyone — and it helps Beam and Sanofi (whose INBRX-101 already met all endpoints in Phase 2 on functional AAT, targeting approval by mid-2027) more than it helps Wave, because they clear the commonly cited ~11 μM protective threshold on functional protein and Wave does not. If the agency balks, Wave faces a long conventional Phase 3 it would need to finance.
- **The informed party already passed.** GSK, Wave’s respiratory partner with full data access, returned WVE-006’s rights in February 2026 — months before this “asymmetric” catalyst. That reads as an informed pass, not as Wave “regaining upside” (the broader GSK collaboration continues, so this was asset-specific).

- **Any good news likely meets a raise.** The company burns ~\$56M per quarter, losses are widening, and a live shelf registration (carried over in the August 10 redomiciliation filings) means a favorable FDA readout is likely met with an equity offering that caps the pop.

Red bench conviction on the kill: 7/10. Blue bench sustained it at 8/10. Neither bench found the bull's starter position earned.

What the market believes

The stock is at \$5.175, down 76% from its 52-week high of \$21.73 and sitting **3% above its 52-week low** — this is a knife, not a bounce. At this price the market is paying about \$510M above cash for the entire pipeline: it has largely written off near-term AATD leadership, is skeptical of the DMD program (the company itself softened from “intends to file an NDA in 2026” to “exploring partnerships in advance of filing”), and is aware Beam's data landed harder. Some option value for the FDA meeting is presumably still embedded, since the meeting has been public since roughly February.

Why we might have edge

Honestly: not much, and the court concluded we don't have enough to act. The candidate edges the bull case offered were:

1. **A dated, publicly decidable binary** — refuted. The “catalyst” is a granted meeting request; the date is non-public, minutes arrive ~30 days later to the company only, and disclosure timing is company-controlled (likely narrated at a fall investor day). Verbatim language checked in the Q2 press release: <https://www.biospace.com/press-releases/wave-life-sciences-reports-second-quarter-2026-financial-results-and-provides-business-update>
2. **Cheapness** — partially real. Both original briefs used a stale \$680M enterprise value; at the pack's tape it's ~\$510M, about 25% cheaper than either bench argued from. That doesn't flip the competitive findings, but it means the option costs less than the court's rhetoric implied. This is the honest residue of the case and the reason for a watch list entry rather than a tombstone.
3. **One pro-bull nuance the red bench omitted** (credit to blue): Beam dosing a pivotal cohort implies the FDA has already accepted an AAT-level registrational endpoint *for someone*. So the disaster branch (“surrogate rejected, decade of Phase 3”) is less likely than red framed. The problem is that the benign branch crowns Beam, not Wave.

Why it might be priced in

The 76% drawdown suggests the market has already done much of our work: Beam's superior data (March 2026), the GSK handback (February 2026), and the DMD softening are all public and old. What's arguably *not* fully priced is the reflexive financing (good news → raise → capped upside) — but that cuts against buying, not for it. Conversely, the FDA meeting is public and some hope premium likely remains in the \$510M; a bad or ambiguous readout still has room to hurt.

What we checked ourselves

Claim	How checked	Found	Confirmed?
BEAM-302: single dose, ~15.1 μ M functional M-AAT, durable, treats liver too	Beam investor-relations PR + topline deck + Alpha-1 Foundation summary	60mg single dose: 16.1 μ M total, 94% M-AAT; inducible 15.9→29.5 μ M in infection; n=29; liver-disease cohort consistent. Bench error: red said “durable $\geq$ 12 months” — actual follow-up is 5–12 months	YES (with correction)
WVE-006 functional M-AAT is ~7 μ M, below the ~11 μ M threshold	Wave’s own May 2026 PR, arithmetic re-done	Bench error: red paired the wrong cohorts — 200mg biweekly is $11.9 \times 64.4\% = 7.7 \mu\text{M}$ (7.2 is the 400mg monthly arm). Direction unchanged: every Wave cohort < 11 μ M functional	YES (with correction)
FDA meeting is a dated public binary	Q2 PR read verbatim	It’s a granted meeting request, “end of summer 2026,” date non-public, company-controlled disclosure	NO — bull claim refuted
GSK milestone payments “expected H2 2026”	Q2 PR read verbatim	PR says only that milestones are “not included in its cash runway.” Bench error: blue’s own brief fabricated the H2’26 timing	NO — refuted
Cash runway into Q3 2028	Deterministic: \$490.6M $\div$ \$55.8M/qtr H1 burn $\approx$ 8.8 quarters	Consistent with guidance, but zero slack and losses widening	YES
Stock “already bounced 21% off the low”	Evidence pack fields read verbatim	Bench error: red misquoted the identical pack — actual: -76% from high, ~3% off the low. The falling-knife framing got <i>stronger</i> once corrected	NO — refuted
\$680M enterprise value	Pack tape $\times$ company share count (193,277,622) minus cash	Both benches’ original briefs were stale: ~\$1.00B market cap, ~\$510M EV (blue’s supersession also slipped a cent, \$5.185 vs the pack’s \$5.175 — immaterial)	Corrected
Aug-10 filing swarm = distress signal	Filing-type review (15-12G, POS AM, POSASR, S-8 POS)	Mechanical residue of a 1-for-1 redomiciliation to Delaware, not a fresh shelf signal — though the carried-over shelf is live raise capacity	Benign, with a caveat
Sanofi/INBRX-101 competitive status	Sanofi PR 2025-10-22	Phase 2 met all endpoints on <i>functional</i> AAT; approval targeted mid-2027	YES
Live tape via IBKR	search_contracts	Permission denied on both benches; Yahoo pack mark stands	OPEN GAP
Short interest / crowding	discovery_state	No tool available this session	OPEN GAP

PROPOSED ENTRY BANDS

The court says no entry at any price today — the objection is competitive, not valuations, so there is no price that fixes it. Per doctrine, business-risk findings cut size (here, to zero), and a new 52-week low triggers re-review, never an automatic buy. Reopen bands and conditions, from the benches’ own math:

- **Reopen trigger A (data):** Wave multidose data (400/600mg) showing functional M-AAT $\geq 11 \mu\text{M}$. This is the single number that un-kills the thesis. Re-court immediately on the PR, before modeling.
- **Reopen trigger B (regulatory):** FDA meeting minutes or company disclosure showing the agency will accept **total** serum AAT (Z-fraction included) as registrational for chronic dosing. This would grade Wave on a curve it can pass.
- **Reopen trigger C (validation):** A real-economics AATD or DMD partnership post-GSK-handback — an informed party re-underwriting the asset.
- **Price band 1 — \$5.02 (below):** new 52-week low. Cause-check only (what broke, or is this the pre-meeting bleed?). Not a buy signal.
- **Price band 2 — ~\$2.55 (below):** price $\approx$ net cash per share ($\$490.6\text{M} \div 193.3\text{M shares} = \2.54). The pipeline would be priced at zero; mandatory re-court on option-cheapness grounds even with no trigger A–C.
- **Sizing if a reopen trigger fires:** the court set none — a reopened case goes back through the full red/blue process before any size is proposed. Blue explicitly flagged that the corrected $\sim \$510\text{M EV}$ “tightens the sizing question a future re-court should ask.”
- **Catalyst dates:** FDA meeting — “end of summer 2026,” exact date non-public, minutes ~ 30 days after; Q3 earnings $\sim 2026-11-09$ (yfinance-derived, **unconfirmed** — no company PR names it); Beam pivotal cohort enrolling now (readout timing unannounced).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 2.55 (deck-provisional: price $\approx$ net cash ($\$490.6\text{M} / 193.3\text{M sh} = \2.54) — pipeline priced at zero, mandatory re-court)
- filing watch: 8-K until 2027-02-07 (deck-provisional: FDA accelerated-approval meeting outcome/minutes, partnership, or DMD update — disclosure is company-c)
- dated pack WVE|2026-09-30: WVE: outer edge of the ‘end of summer 2026’ FDA meeting window; exact date non-public, minutes ~ 30 days later (date confirmed=False)
- dated pack WVE|2026-11-09: WVE: Q3 2026 earnings (yfinance-derived; no company PR names it) (date confirmed=False)

What remains unverified

- **Live executable tape:** IBKR quote check was permission-denied on both benches; all price math rests on the Yahoo pack mark (\$5.175).
- **Short interest / crowding / discovery state:** no tool available this session — red’s kill conviction was self-capped at 7/10 partly for this.
- **The FDA meeting date and content:** non-public; “end of summer 2026” is the company’s phrase, and everything downstream of the meeting is company-narrated.

- **GSK’s actual motive** for the handback: the adverse-selection reading is plausible and unrebutted, but no tool can check a counterparty’s reasoning; the collaboration continuing on other assets softens it.
- **The reported –50% obesity-program session move**: secondary-source only (FierceBiotech), never tape-verified.
- **Q3 earnings date** (~2026-11-09): derived, not company-confirmed.
- **The evidence pack’s XBRL block**: stale/unusable (2015–2017 revenue rows; share counts end mid-2025) — both benches concurred; nothing in this deck relies on it.

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The deck is complete. Key editorial choices, for the adjudicator: I used the pack tape (\$5.175 → ~\$510M EV) over both benches’ stale \$680M figure, led the “edge” section with the concession that we don’t have one, and recorded all four bench errors (red’s pack misquote and cohort mix-up, blue’s fabricated milestone timing, the shared stale EV) in the checks table. Since the verdict is no-entry, the bands section carries the three reopen triggers plus the two derived price floors, and the sensors section flags NONE ARMED as a live gap with seven proposed arms encoded in the fence.